

Paradiem

The Morning Brief

AUGUST 12, 2026

CPI Pivot

Two crude sessions layered on a Chair Warsh reaction function frame the July CPI print for composition, not headline.

S&P 500 (TUE CLOSE)	WTI (USO TUE)	ENERGY (XLE TUE)	BITCOIN (IBIT TUE)	FEAR & GREED (CNN)
\$770.56 · ↓0.32%	\$127.61 · ↑1.34%	\$60.93 · ↑1.25%	\$35.94 · ↓0.80%	65 · Greed

SECTION 01

Markets — A Second Crude Session Into CPI With Breadth Turning Constructive

ROTATION DEEPENS AHEAD OF THE 8:30 AM PRINT

Tuesday extended Monday’s repricing rather than reversing it. Per data drop, USO closed ↑1.34% at \$127.61 and BNO closed ↑1.70% at \$50.96 as the Hormuz-friction bid layered a second discrete session onto the crude complex. The S&P 500 (SPY) faded modestly to \$770.56 (↓0.32%) with the Dow ↓0.32% and Nasdaq ↓0.34% per data drop, but the Russell 2000 closed ↑0.34% and UVXY compressed ↓2.03% to \$21.19 — a small-cap and vol read that argues the surface-level index fade masked a constructive internal rotation. XLE ↑1.25%, XLU ↑1.16%, and XLI ↑0.60% led the sector tape; XLRE ↓0.72% and XLC ↓0.50% lagged. Overnight, per CNBC and MarketScreener coverage of the pre-CPI tape, S&P E-minis were ↑0.11% and Nasdaq futures ↑0.25%; Europe traded firm (DAX ↑1.2%, CAC 40 ↑1.0%, Stoxx 600 ↑0.3%) while Asia was mixed (Nikkei ↓0.9%, Hang Seng ↑0.4%, Shanghai ↓0.6%).

S&P 500 (SPY TUE)	\$770.56 · ↓0.32%
RUSSELL 2000 (TUE)	\$300.99 · ↑0.34%
WTI (USO TUE)	\$127.61 · ↑1.34%
BRENT (BNO TUE)	\$50.96 · ↑1.70%
TLT (20Y TUE)	\$82.19 · ↑0.16%
UVXY (TUE)	\$21.19 · ↓2.03%
JULY CPI	Wed Aug 12 · 8:30 AM ET per BLS

CHAIR WARSH REACTION FUNCTION NOW THE OPERATIVE FRAME

The July CPI print lands at 8:30 AM ET per BLS release calendar with consensus anchored near +0.2% MoM headline and +0.2% MoM core, headline YoY easing to roughly 2.4–2.5% and core near 2.5% per Techtimes and preview coverage.

Per Yahoo Finance and Phemex coverage of the September FOMC setup, the target range holds at 3.50–3.75% after five consecutive holds and CME FedWatch now assigns roughly 55% odds to a September hike against 45% hold, with Chair Kevin Warsh the operative reaction function into a hotter-than-consensus outcome. Two consecutive crude-driven sessions push the composition read to the forefront: services ex-energy is the line item that determines whether the disinflation thesis absorbs the crude re-price or whether it begins to leak. The FCI dividend sleeve retains higher-duration positioning through NEE, ATO, and CEG; the AI-power complex traded constructively into the print with CEG ↑2.93% and EIX ↑3.04% Tuesday per data drop.

AI-POWER AND INTERCONNECT LEAD INSIDE A MIXED SEMI TAPE

Tuesday's FCI leadership tape reads differently than Monday's clean rotation: HUT ↑3.64%, CRDO ↑3.23%, EIX ↑3.04%, CEG ↑2.93%, KEYS ↑2.47%, and TEL ↑2.06% per data drop — a mix of the AI-interconnect rebound (CRDO, KEYS, TEL), the AI-power thesis (CEG, EIX, VST ↑1.43%), and the miner tape (HUT). NVDA closed essentially flat (↓0.02% at \$217.50), MRVL rebounded ↑1.80%, and QCOM ↑0.31% — a partial recovery from Monday's semi drawdown that argues the Monday move was more positioning artifact than fundamental repricing. The pain names inside FCI were

commodity-linked and consumer-adjacent: FCX ↓2.33%, STLD ↓1.83%, and ATAT ↓4.49%. Cisco reports fiscal Q4 after the close today; per Alphastreet coverage consensus sits near \$1.17 EPS and \$16.83B revenue, with options-implied move near 8% per TipRanks. Cisco's AI-networking book (previously guided to approximately \$9B in FY26 AI infrastructure orders per company disclosures cited by Benzinga) is the direct read-across into CRDO, MRVL, NVDA, and TSM.

Two crude sessions and a Warsh reaction function into a print already priced for disinflation is a composition trade, not a headline trade. Avoid Erosion.

SECTION 02

Geopolitics — US Blockade Enforcement Turns Kinetic in the Gulf of Oman

US HELLFIRE STRIKE ON CONTAINER SHIP VELA NOVA OFF PAKISTAN COAST

Per Wall Street Journal and Al-Monitor coverage of the Monday incident carried into the Tuesday tape, a US military helicopter fired a Hellfire missile at the rudder of the Panama-flagged container ship Vela Nova as the vessel sailed into the Gulf of Oman toward an Iranian port after attempting to evade the US blockade on Iran-linked shipping. Per CNBC coverage, this is the first publicly disclosed kinetic action against a commercial vessel enforcing the blockade rather than a naval interdiction, materially escalating the enforcement posture the White House had characterized since late February as intercept-and-inspect. Separately, per Al-Monitor and CNN coverage, the Egyptian-owned cargo vessel Tihamah was hit in a Houthi sequential ballistic missile strike in the Bab al-Mandeb Strait, killing four crew and two rescuers — the first fatalities from a Houthi shipping strike since the conflict began. For the FCI energy sleeve (CVX, CNX, OKE), the sequence extends the physical-friction transmission channel from the transit-baseline to an explicit kinetic-enforcement channel; per Reuters coverage in the data drop, Hormuz shipping traffic fell to a one-week low on Tuesday.

IRAN-OMAN FRAMEWORK REPORTED NEAR FINAL STAGE AS PRECONDITIONS REMAIN UNRESOLVED

Per Al Jazeera coverage of the Sunday statement from Iranian Foreign Minister Abbas Araghchi carried through Tuesday, talks between Tehran and Oman on a Hormuz shipping arrangement have reached an advanced stage, but reopening remains conditional on Washington meeting the six-point demand list published over the prior weekend — specifically sanctions easing and war-damage compensation. Per MarineTraffic data cited by Al Jazeera, between eight and 15 vessels crossed the strait daily on August 4–6, a fraction of the roughly 130 daily transits before the conflict; the data drop

reports Tuesday traffic fell to a one-week low. The pattern is consistent with a corridor framework that remains under construction against a set of preconditions the White House has not signaled it will meet. For FCI positioning, the friction is now measurably persistent rather than negotiated away, and the crude tape has begun to trade off physical throughput reads rather than diplomatic headlines.

REGIONAL READ: YEMEN KINETIC THRESHOLD CROSSED, GAZA FRAMEWORK STILL LIVE

The Tihamah fatalities mark the first Red Sea shipping deaths since the Iran conflict began per Al-Monitor, resetting the risk

perimeter for Bab al-Mandeb traffic to a level not seen since the April 2022 UN-brokered truce. Per Reuters coverage of the Pentagon-attributed civilian-casualty accounting in the data drop headlines, US military operations killed 153 civilians in 2025 according to a Pentagon assessment released this week — a disclosure that reframes the public information environment for the balance of the current strike sequence. Netanyahu's public rejection of Trump's 15-point Gaza

framework flagged in prior briefs remains unresolved ahead of the October 27 Israeli election. Taken together, three simultaneously live threads — the Hormuz corridor, the Yemen kinetic threshold, and the Gaza framework — continue to contribute independently to the crude complex bid and the defense-sleeve tape; LMT closed ↓0.89% Tuesday per data drop against a sector rotation that favored energy over defense on the day.

SECTION 03

On Our Radar

1. July CPI at 8:30 AM ET — Composition Read Is the Trade. The July CPI print lands at 8:30 AM ET per BLS release calendar with consensus centered on +0.2% MoM headline and +0.2% MoM core, headline YoY easing to roughly 2.4–2.5% and core near 2.5% per Techtimes and preview coverage. Per Yahoo Finance and Phemex coverage of the September FOMC setup, CME FedWatch assigns roughly 55% odds to a September hike against 45% hold; Polymarket sits closer to 36% hike, 63% hold per its posted odds. A hotter core would compress that split toward the CME distribution and toward Chair Warsh's reaction function into September; a softer print would revalidate the July-NFP-driven dovish reset. Services ex-energy is the line item to isolate, followed by airline fares and gasoline pass-through into headline. PPI Thursday and Retail Sales, Industrial Production, and preliminary Michigan Consumer Sentiment Friday complete the macro window.

2. Cisco (CSCO) After the Close — AI-Networking Guide Read-Across to CRDO, MRVL, NVDA, TSM. Cisco reports fiscal Q4 after the close today with consensus near \$1.17 EPS (+18% YoY) and \$16.83B revenue (+15% YoY) per Alphastreet and TipRanks. Per Benzinga coverage, Cisco raised its full-year AI infrastructure order expectation to approximately \$9B from \$5B during FY26, having booked roughly \$5.3B through Q3. Options-implied move sits near 8% per TipRanks. The FY27 guide and hyperscaler order commentary will inform whether the Monday semi drawdown that partially reversed Tuesday was a positioning artifact or a leading signal. Applied Materials and Deere later in the week complete the semi-and-industrial earnings read. CRDO closed ↑3.23%, MRVL ↑1.80%, and TEL ↑2.06% Tuesday per data drop — a partial rebuild of the AI-interconnect tape into the Cisco print.

3. AI-Power Complex Extends: EIX, CEG, KEYS, TEL Lead the FCI Sleeve. Tuesday's FCI top movers — HUT ↑3.64%, CRDO ↑3.23%, EIX ↑3.04%, CEG ↑2.93%, KEYS ↑2.47%, TEL ↑2.06%, VST ↑1.43% per data drop — capture the AI-power and AI-interconnect thesis operating in the same tape rather than one at the expense of the other. XLU ↑1.16% and XLE ↑1.25% co-led Tuesday, an unusual read given that utilities typically fade a crude-driven session; the AI-datacenter power-demand narrative appears to be dominating the rate-sensitivity read for the regulated names. Per SeekingAlpha coverage carried in the data drop, Constellation Energy raised guidance around nuclear scarcity; Benzinga coverage flagged Argus reiterating Buy on CEG. For the FCI dividend and growth sleeves, the crossover between the AI-power thesis (CEG, EIX, VST) and the higher-duration read (NEE, ATO) into a CPI print with balanced consensus is where the current tape is most concentrated.

4. Bitcoin Consolidation Continues; Ethereum Divergence Persists. IBIT closed ↓0.80% at \$35.94 and ETHA closed ↑0.28% at \$14.18 Tuesday per data drop, a modest divergence consistent with the flow-tape read carried in prior briefs. Per Yahoo Finance coverage of the overnight tape, Bitcoin traded near \$64,300 and Ethereum near \$1,890 into the CPI print. The miner tape remained bifurcated: HUT ↑3.64% led the FCI complex Tuesday while MARA closed ↑1.26% at \$9.68 per data drop — a partial rebuild after Monday's drawdown. Per Benzinga coverage, Bernstein flagged an 80% upside path for Riot Platforms linked to AI-datacenter conversion economics, a read that extends the AI-power thesis into the mining sleeve. For FCI positioning through IBIT and ETHA, the consolidation posture remains dominant; the CLARITY Act Senate cloture setup for September 15 remains the near-term policy overhang.

5. Small-Cap Breadth Diverges Positive; Vol Compressed Into CPI. The Russell 2000 closed ↑0.34% at \$300.99 against S&P 500 ↓0.32%, Nasdaq ↓0.34%, and Dow ↓0.32% per data drop — a breadth divergence that suggests Tuesday's surface fade was concentrated in mega-cap tech rather than a broad de-risking event. UVXY compressed ↓2.03% to \$21.19, sustaining the low-vol regime carried into the CPI print. Per data drop, TLT closed ↑0.16% at \$82.19, a modest bond bid that argues the crude re-price is not yet feeding through into terminal-rate expectations. The setup tests whether that composition holds through the 8:30 AM print or whether a hotter services ex-energy read compresses the small-cap bid and the vol backdrop simultaneously.

6. Carson's SPY \$645.80 Support Remains Active; No Levels Hit Tuesday. Per levels.json, Carson's active SPY support at \$645.80 remains untouched through Tuesday's \$769.20–\$774.61 S&P 500 intraday range per data drop and now sits approximately 16.6% below the current tape. No active resistance levels are on the book following the April 14 breakout of the \$691.90–\$693.20 major zone. With CPI landing at 8:30 AM ET, Cisco reporting after the close, the Vela Nova strike escalating US blockade enforcement, and the AI-power complex extending its lead inside the FCI sleeve, the pre-committed deployment discipline (70% of reserves at –25% drawdown, remaining 30% at –40%) continues to frame reactive positioning against any post-CPI gap.